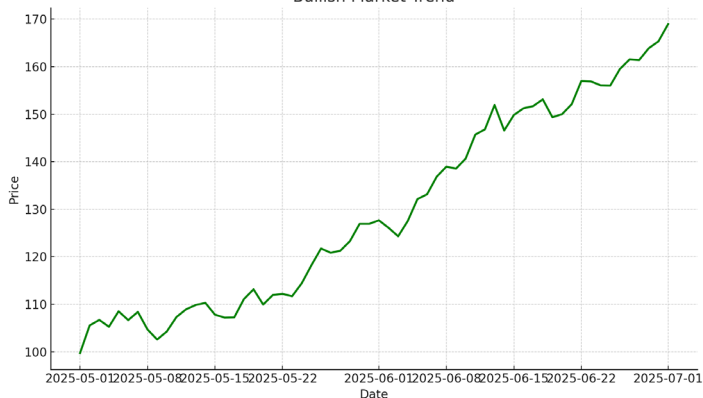


Comparing futures and equity delivery as speculation tools

Futures are arguably a better tool for speculation than buying and holding stocks, where the latter is also called equity delivery. Suppose you are bullish about a stock, i.e., you believe it will rise. You could choose to buy and hold it. But what if you are bearish on a stock, i.e., you feel prices will go down? You cannot sell and hold.

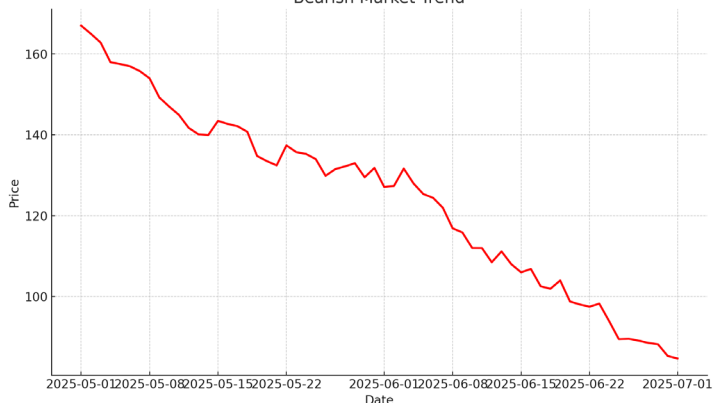
Equity Delivery

Bullish Market Trend



Buy and Hold

Bearish Market Trend



Cannot Sell and hold